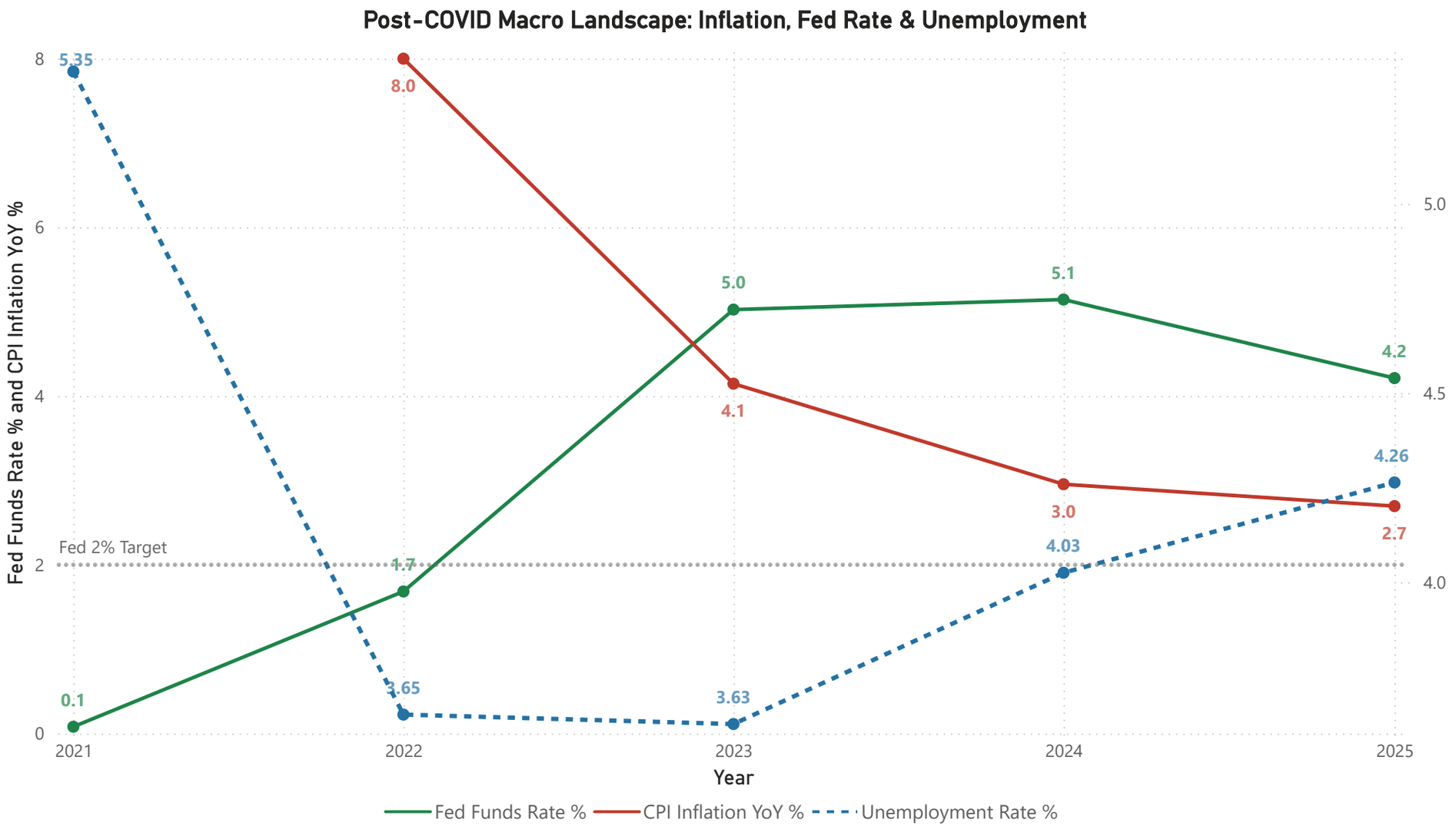
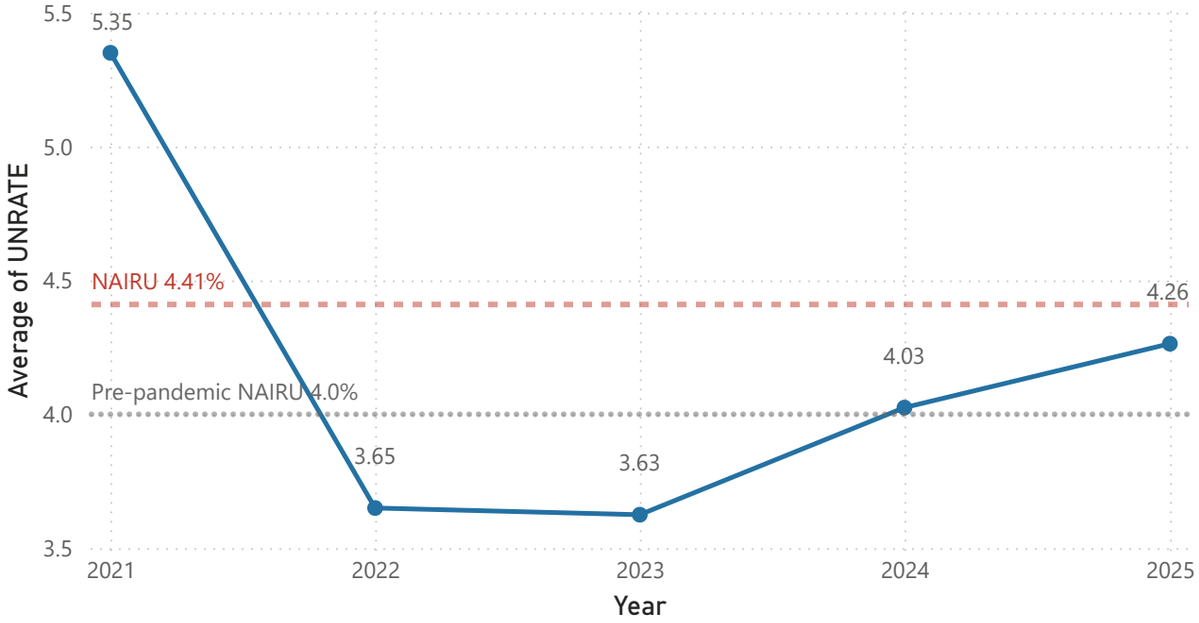
CPI Inflation YoY %	Federal Funds Rate %	Unemployment Rate %	Yield Curve Status
2.65	3.72	4.40	✓ Normal



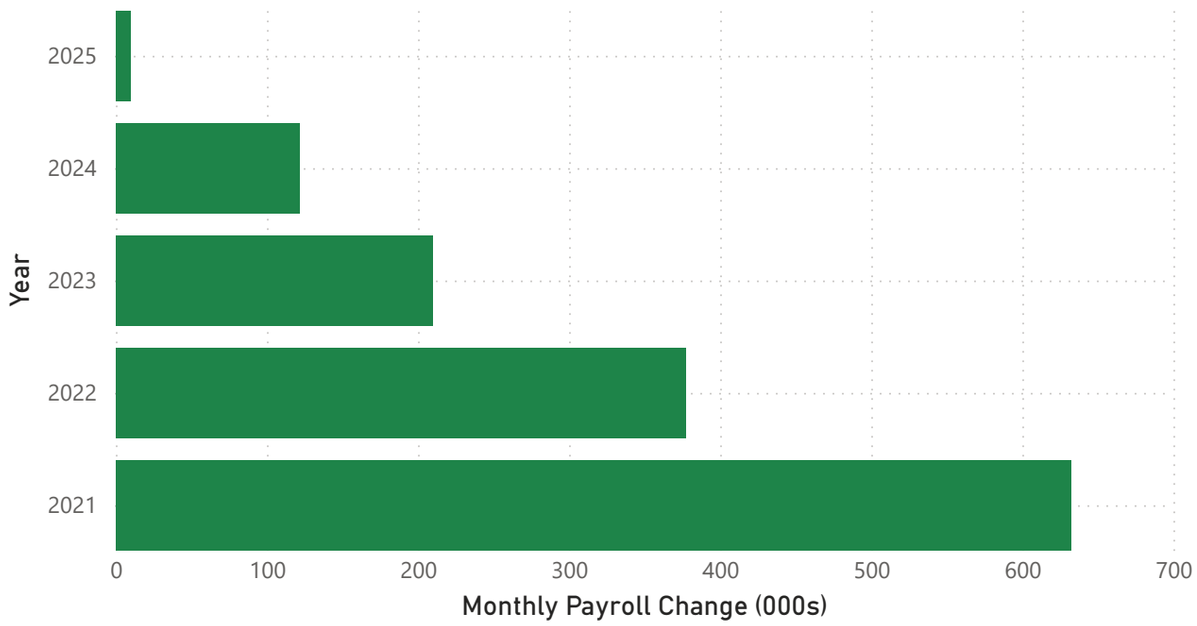
Date Slicer

01-01-2021 31-12-2025

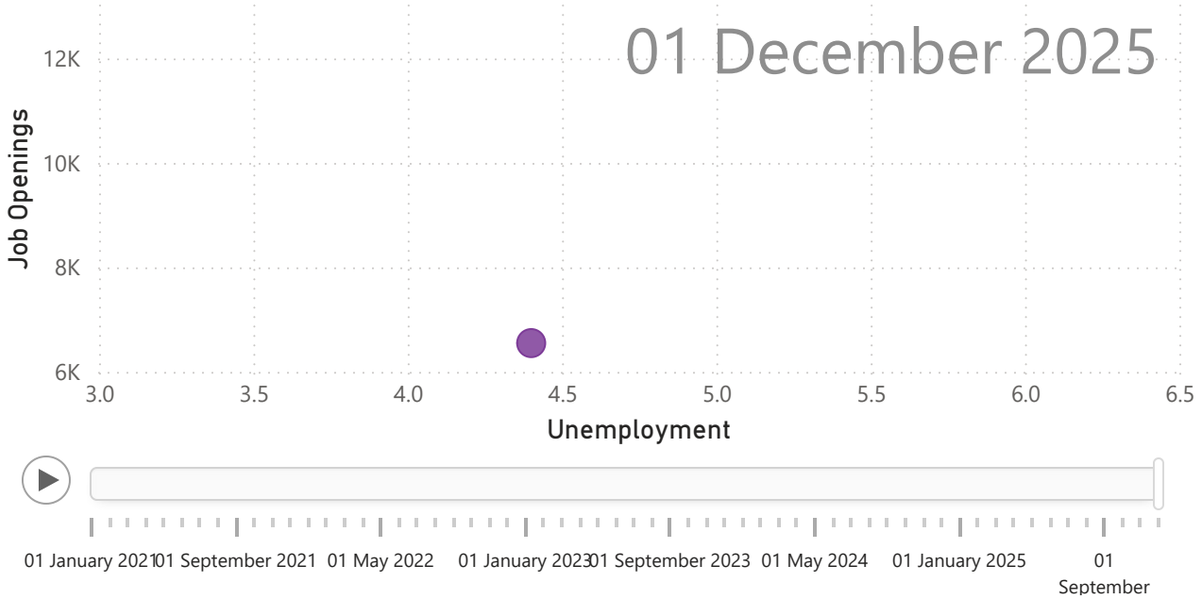
US Unemployment Rate — NAIRU at 4.41% (Post-COVID Estimate)



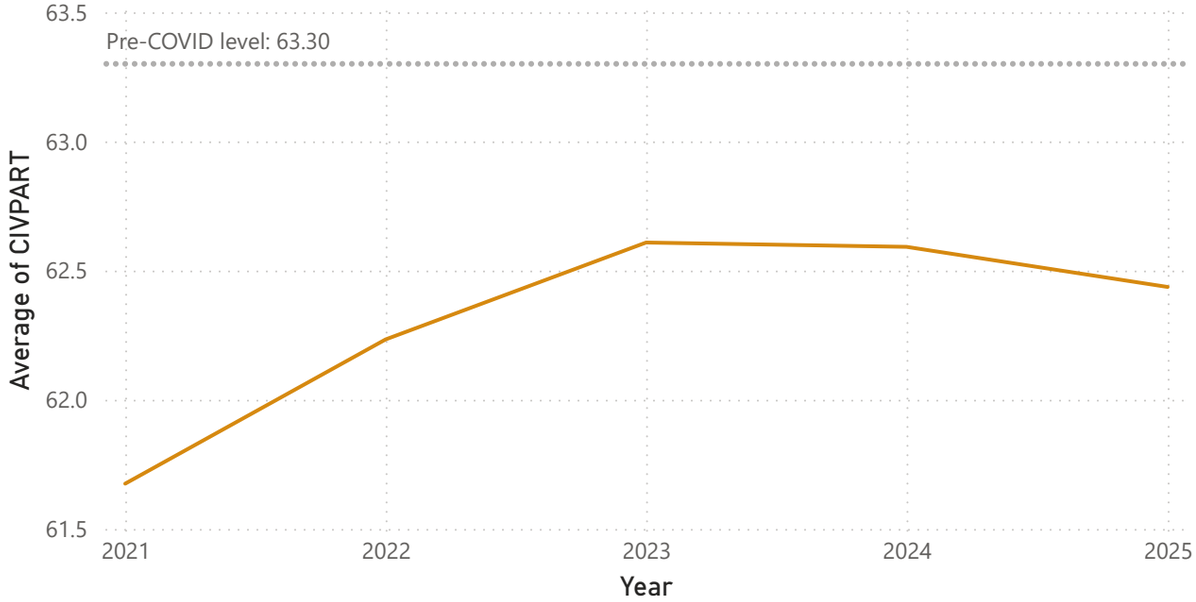
Monthly Payroll Change (000s) by Year



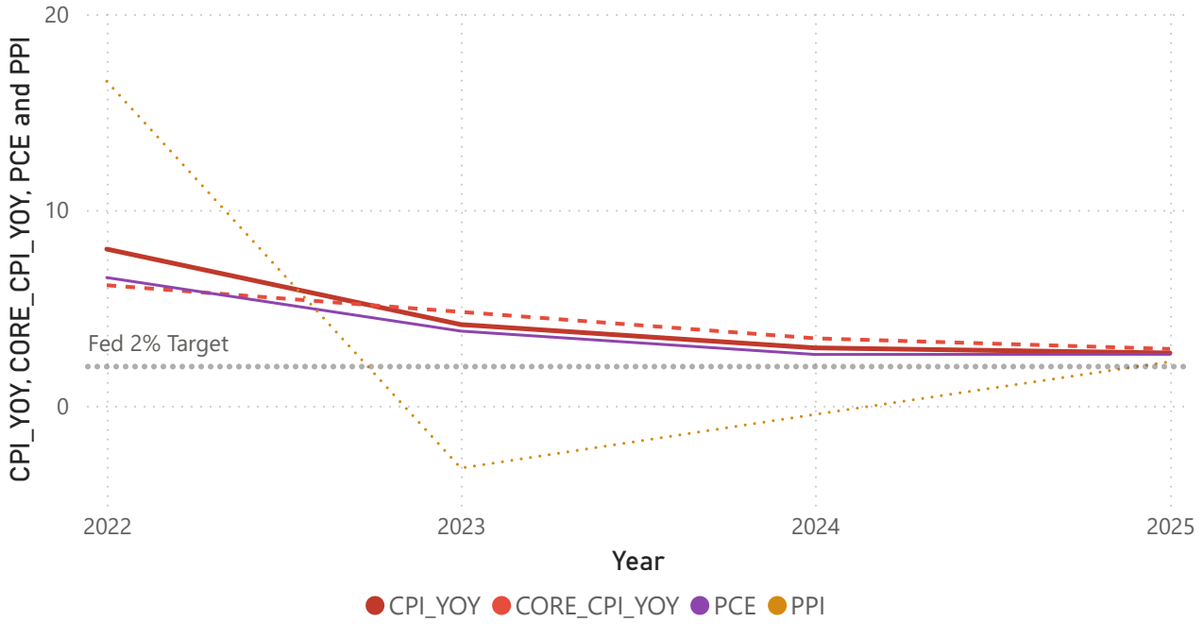
Beveridge Curve: Job Openings vs Unemployment (2021–2025)



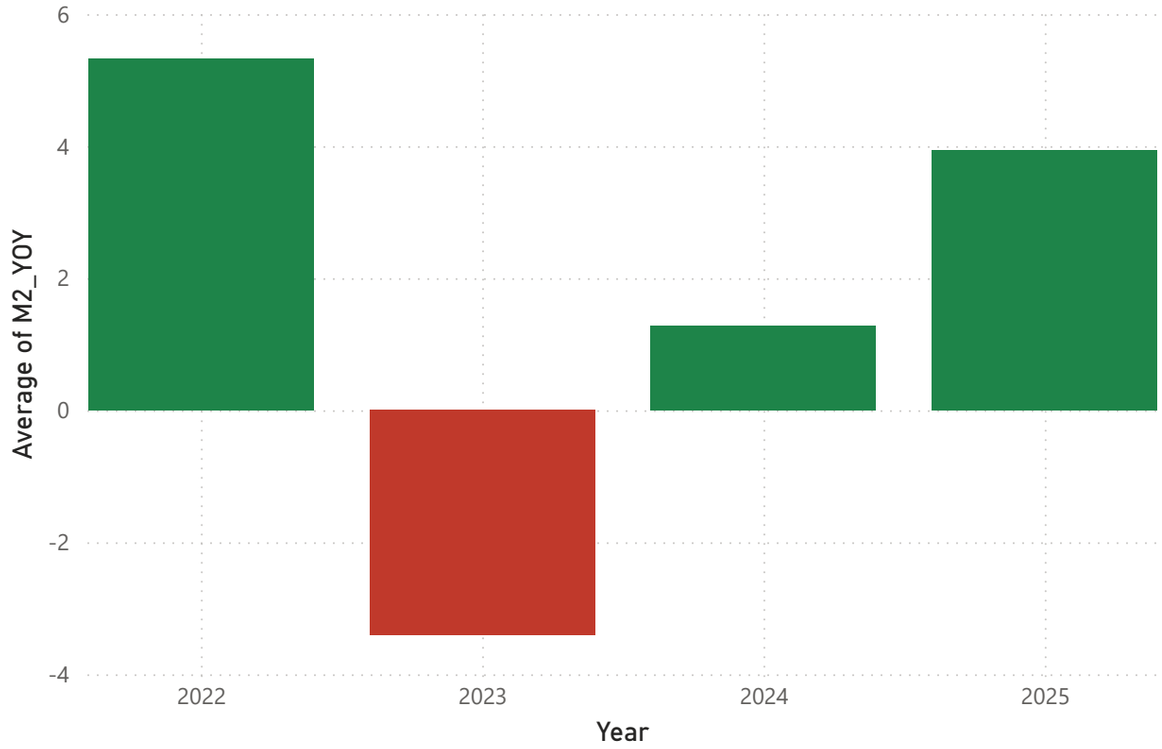
Labour Force Participation Rate % — Recovery vs Pre-COVID



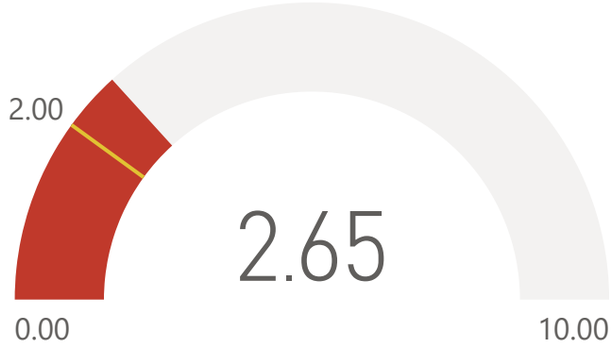
US Inflation: CPI vs Core CPI vs PCE vs PPI (YoY %)



M2 Money Supply YoY Growth % — The Inflation Fuel & Its Reversal



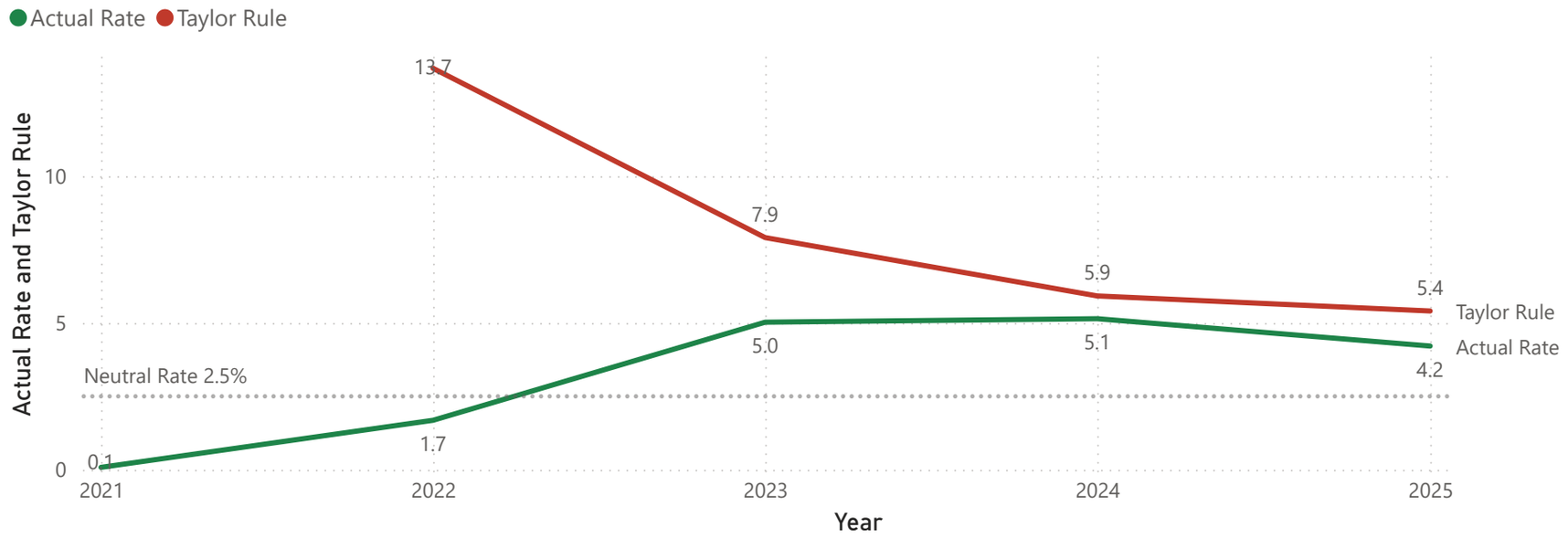
Inflation vs 2% Fed Target



Current Inflation Snapshot

2.65 Latest CPI	2.65 Latest Core CPI
0.65 Inflation vs Target	

Taylor Rule vs Actual Fed Funds Rate — Was the Fed Behind the Curve?

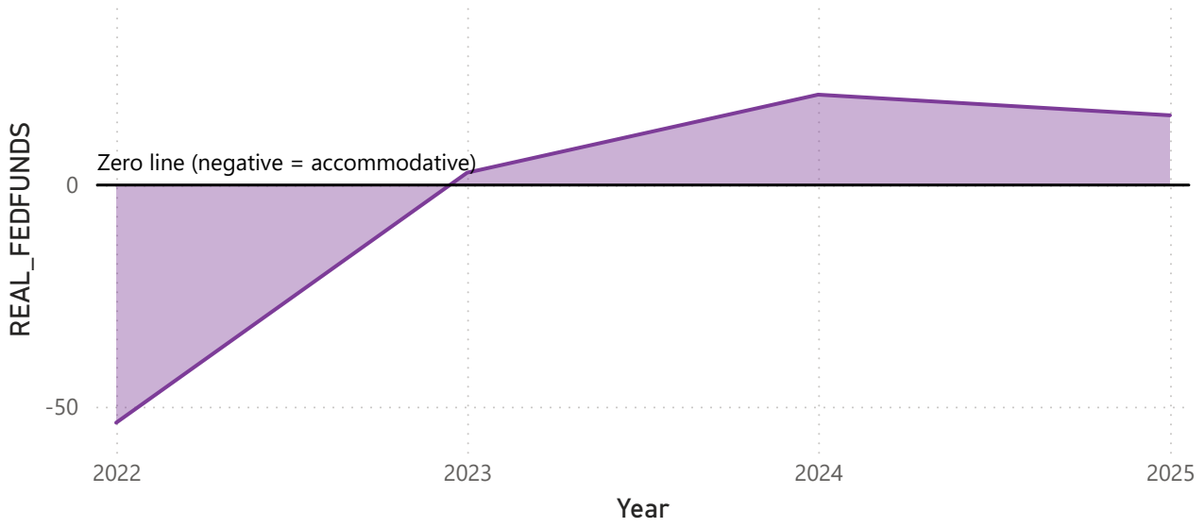


Restrictive

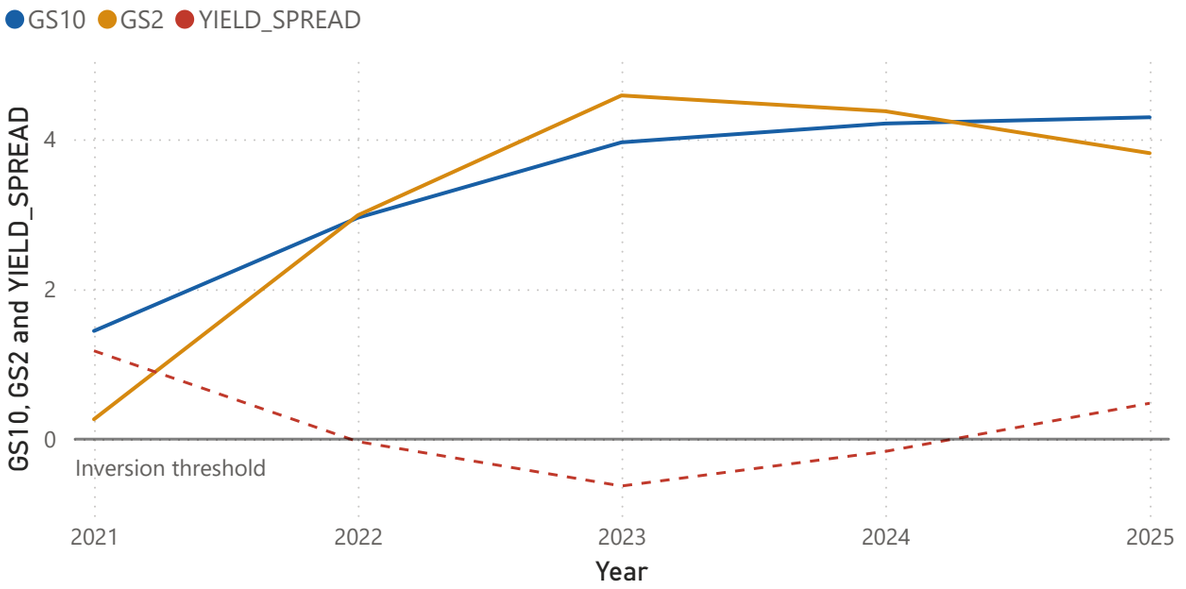
Current Policy Stance

Red zone (TAYLOR > FEDFUNDS) = Fed too loose. 2021–early 2022 gap reached ~6 percentage points.

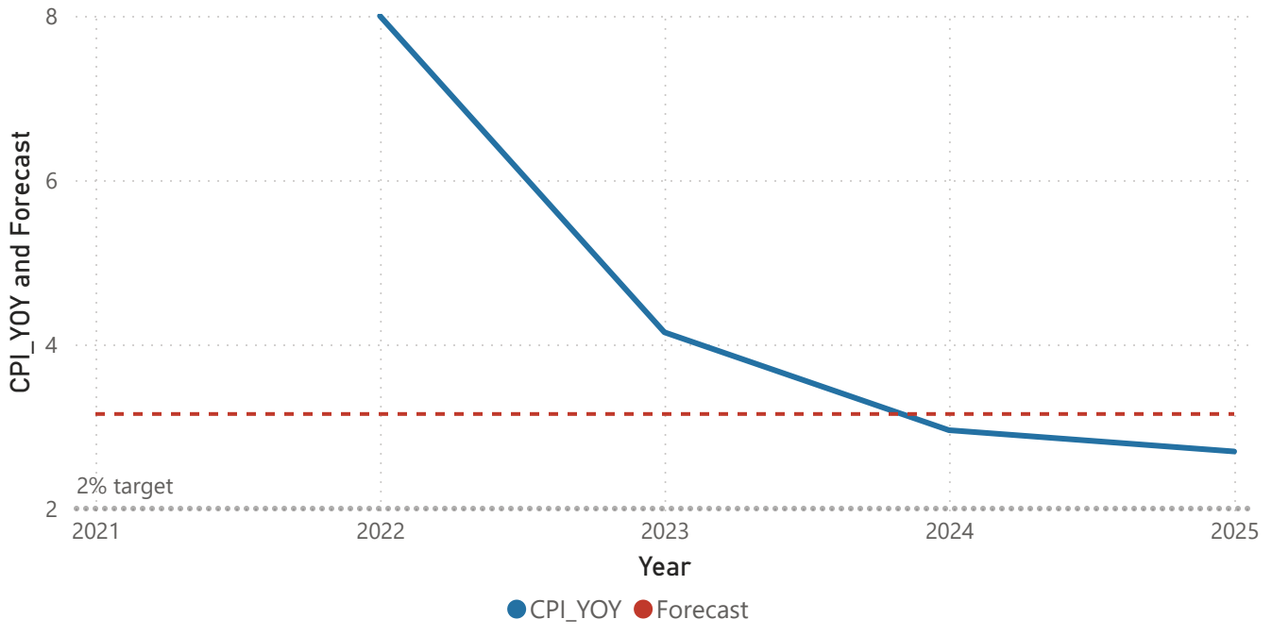
Real Federal Funds Rate = Nominal Rate - Core CPI (Negative = Stimulative)



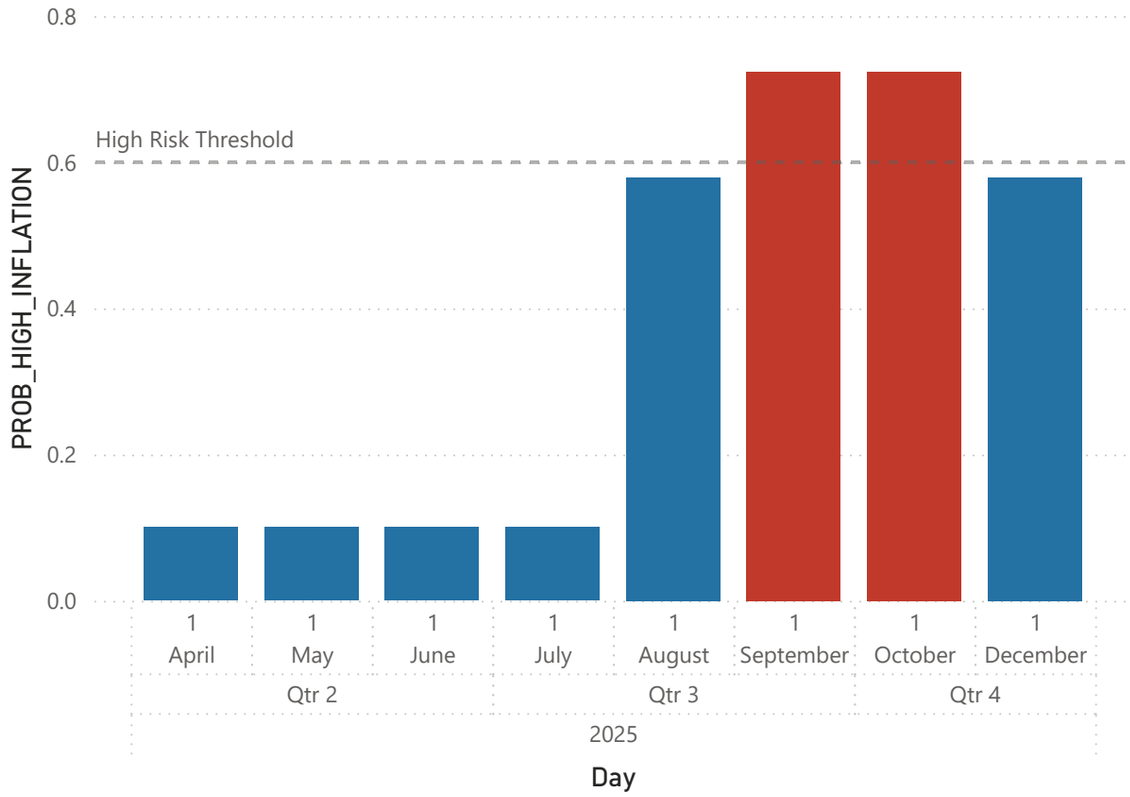
Yield Curve: 10Y vs 2Y Treasury — Inverted Jul 2022–Aug 2024 (26 months)



ARIMA(0,2,1) CPI Forecast — MAPE 5.97% on Hold-out | Point estimate ~3.4% by Dec 2026



XGBoost Model: Probability of CPI > 3% in next 6 months



KEY FINDINGS

- Fed was 6pp behind Taylor Rule in 2021–2022
- Real rate hit −4.47% — most stimulative since 1970s
- Yield curve inverted 26 months — no recession materialized
- NAIRU estimated at 4.41% (post-COVID structural shift)
- Inflation forecast: 2.97% (Jan 2026) → 3.43% (Dec 2026)
- Model accuracy: MAE=0.167, RMSE=0.185, MAPE=5.97%

ARIMA Point Forecast with 95% Confidence Intervals

Year	Quarter	Month	Day	Forecast	Lower95	Upper95
2026	Qtr 1	January	1	2.97	-0.86	6.80
2026	Qtr 1	February	1	3.01	-1.42	7.45
2026	Qtr 1	March	1	3.06	-2.01	8.12
2026	Qtr 2	April	1	3.10	-2.62	8.82
2026	Qtr 2	June	1	3.18	-3.92	10.28
2026	Qtr 3	September	1	3.31	-6.04	12.66